



Transatlantic Tensions? The NATO Summit Verdicts

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Transatlantic tensions are brewing! Our latest analysis dissects the NATO Summit's verdict, revealing critical shifts in defence spending, new industrial initiatives, and unresolved strains between Europe and the US. Discover what these developments mean for markets, from potential trade wars to a looming Ukraine ceasefire.

Context

- NATO leaders met in Ankara on 7-8 JUL for a summit, which reaffirmed the alliance's unity on key issues and embedded the 'NATO 3.0' plan to shift more of the burden of Europe's conventional defence onto European members.
- At the same time, the summit was fractious given high-profile criticism by President Trump of NATO's willingness to assist the US in Iran, renewed claims on Greenland, and political differences with several European countries. The Europe-US relationship is under stress.
- While the summit delivered some concrete industrial initiatives, the underlying transatlantic strains remain unresolved, and there is almost undoubtedly going to be more strains ahead relating to burden-shifting, spending and issues like Greenland.

What did the summit deliver?

- The summit's headline outcome is that NATO allies are moving quickly to **increase defence spending** and production, and to develop new warfare capabilities. Following the 2025 declaration that allies' "core" defence spending would rise to 3.5% of GDP by 2035, leaders highlighted a \$139 Bn increase in 2025 by European NATO countries and Canada. The NATO Summit Defence Industry Forum saw allies announce over \$50 Bn in new defence procurement, including a \$40 Bn commitment over five years to build drone and counter-drone systems. They also pledged to provide Ukraine with €70 Bn EUR in weapons deliveries and defence assistance in 2026 and an equivalent amount in 2027.
- Countries have launched **NATO-adjacent coalitions** to address financing and procurement bottlenecks. These include: the Canada-led Defence Security and Resilience Bank (DSRB), which reportedly aims to raise up to \$135 Bn in lending capacity; and the UK-championed Multilateral Defence Mechanism (MDM), meant to coordinate joint procurement to improve efficiency and reduce unit costs. Discussions are ongoing on aligning or consolidating the DSRB and MDM, and participation in these and similar initiatives is likely to gather pace.
- **More efficient engagement with industry:** Secretary General Rutte launched the NATO Front Door for Industry (a new platform to simplify how companies engage with NATO by giving companies a single point of access to NATO procurement opportunities, innovation events, and other

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engagement channels). This is paired with NATO's first public unclassified demand signal, developed by NATO's defence planners laying out capability priorities for the coming years and distributed through the Front Door. Rutte also launched the NATO Engine, a framework to expand industrial production capacity, which connects defence and civilian manufacturing lines across the Alliance.

What should markets be watching next?

- **Europe-US political and security relations:** Tension in the transatlantic relationship has grown since the start of the year and may increase further, particularly as ties between Trump and traditional centre-right European allies have come under strain. European leaders fear rapid US withdrawal of defence capabilities that cannot be quickly replaced (e.g. intelligence, reconnaissance and surveillance; air-to-air refuelling; and long-range fires). US Defence Secretary Pete Hegseth's announcement on 18 June of a six-month Pentagon review of US force posture in Europe will heighten these concerns, as well as fears of political retaliation against individual countries.
- European capitals are pushing the US for a clear roadmap on force drawdowns that would allow them to plan their corresponding build-up, but it is unclear whether they will receive any concrete commitments. As the US begins to face constraints on resources and weapons stockpiles owing to the Iran war, the Trump administration will likely intensify its demands that Europe urgently take on more responsibility for its own conventional defence.
- **Europe-US economic ties:** A key consideration for investors is whether worsening political ties will spill over into the transatlantic trade and investment environment. The 2025 EU-US Turnberry agreement took effect in the EU on 1 July, but US adherence to the 15% all-inclusive rate on covered EU exports has been thrown into doubt by the shifting basis of US tariff authority this year. The next watchpoint will be the findings of the US Section 301 investigation into structural overcapacity, in which the EU is one of 16 jurisdictions in scope.
- This may lead to renewed EU-US negotiations over implementing Turnberry; the European Commission could propose to suspend certain concessions if it deems the US in breach of the agreement's terms. Political tail risks to the economic relationship will also remain: Trump's restated claims on Greenland, or his demand to cut economic ties with Spain, could prompt the EU to threaten retaliatory measures similar to those it considered applying in January of this year, and could trigger renewed market volatility.
- **Russia-Ukraine ceasefire negotiations:** In line with our expectations, Trump is renewing his diplomatic push for a ceasefire, meeting President Zelensky on 8 July and speaking to President Putin over the 4-5 July weekend. This re-engagement has notably coincided with closer Europe-US alignment on Ukraine, the expiry of the US waiver for Russian oil sanctions on 17 June, and Trump's announcement on 8 July that the US would grant Ukraine a licence to produce Patriot air defence missiles domestically. Taken together, these measures may form part of a US strategy to increase pressure on Moscow to re-enter mediated negotiations with Ukraine.
- Growing war fatigue, a shift in public attitudes in both Russia and Ukraine, and greater openness among some European leaders to direct talks with Moscow all point to possible progress towards a deal. A ceasefire this year is by no means assured, but any agreement could have wide-ranging implications for markets, including sanctions relief, increased agricultural



exports, and substantial investment in infrastructure, energy, transport, minerals, defence and other sectors associated with post-conflict reconstruction.

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Appendix 1

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